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U.S. DEPARTMENT OF JUSTICE
FEDERAL MARITIME COMMISSION

BEFORE THE FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

TRANS-NET, INC.

v.

FESCO OCEAN MANAGEMENT LIMITED

DOCKET NO. 04-07

**JOINT MOTION AND MEMORANDUM FOR APPROVAL OF
CONFIDENTIAL AGREEMENT OF SETTLEMENT AND RELEASE**

I. INTRODUCTION

Complainant Trans-Net, Inc. ("Trans-Net") and Respondent FESCO Ocean Management Limited ("FOML"), together the "Parties," submit this motion for approval of a Confidential Agreement of Settlement and Release (the "Confidential Settlement") that resolves all issues in the captioned proceeding.

The Parties move also that the complete Confidential Settlement be held confidentially by the Presiding Judge and by the Commission and barred from public view or disclosure, except on the conditions stated in the Confidential Settlement. The Parties further move that the complaint herein be dismissed with prejudice upon the issuance of a final Commission decision or order resulting in the final approval of the Confidential Settlement.

The Confidential Settlement requires the parties to keep the terms and conditions of the Settlement confidential. This confidentiality requirement is an important and necessary element of the Confidential Settlement, which could be compromised by a breach of such confidentiality. Ample Commission precedent supports the confidentiality of settlements at the request of the parties.¹ The Confidential Settlement is attached hereto as CONFIDENTIAL Attachment 1.

II. THE CONFIDENTIAL SETTLEMENT

The Parties' Confidential Settlement covers all issues in dispute; and the Confidential Settlement is discussed here only briefly because of the Parties' request that the complete Confidential Settlement be kept confidential in the Commission's confidential files.

FOML expressly denies the allegations and claims in Trans-Net's complaint and denies, as well, any liability to Trans-Net arising from those allegations and claims. Trans-Net expressly denies any grounds for any liability to FOML for any actual or potential claims or counterclaims by FOML against Trans-Net.

The Parties recognize that significant and possibly novel issues are in dispute, and wish to avoid the expenditure of resources and the time, delay and uncertainty likely to occur in continued litigation over these issues. The Parties therefore have pursued good faith negotiations to achieve a mutually acceptable arm's length settlement of all the issues. Trans-Net and FOML agree to release each other from any and all causes of

¹ *Kawasaki Kisen Kaisha, Ltd. v. Intercontinental Exchange, Inc. and Ignacio Gomez*, 29 SRR 227, 228-229 (ID 2001), Administratively Final August 16, 2001; *Marine Dynamics v. RTM Line, Ltd.*, 27 SRR 503, 504 (ID 1996), Administratively Final March 14, 1996; and *Amsov Co., Inc. v. Dan-Transport Corp.*, 27 SRR 496, 498 (ID 1995), Administratively Final September 7, 1995.

action and claims of whatever nature; and the Parties make no admission of liability of any sort to one another.

The Confidential Settlement contains no provisions that would contravene any law or public policy, and avoids what otherwise could be extensive litigation. The Commission supports measures for avoiding litigation,² and numerous Commission cases underscore the Commission's strong encouragement of settlements, finding them to be just and reasonable absent an indication that they violate law or policy.³

The Parties request for confidentiality is no bar to approval of the Confidential Settlement. Trans-Net and FOML have entered into an arm's-length resolution of the issues in this proceeding, and the terms of the Confidential Settlement are acceptable and satisfactory to Trans-Net and to FOML. The Confidential Settlement is within a complaint case that involves private litigants as Complainant and Respondent, and, in which circumstances, confidentiality is consistent with Commission precedent. The Commission has readily accepted requests for confidentiality of such settlements.⁴

III. CONCLUSION

For the reasons stated above, Trans-Net and FOML respectfully urge the Presiding Judge to approve the Confidential Settlement, to order that the Confidential

² 46 CFR Part 502, Subpart U, Alternative Dispute Resolution.

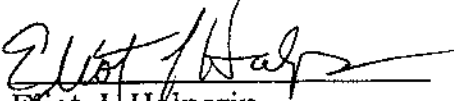
³ See, e.g., *Al Kogan d/b/a Galaway International v. World Express Shipping, et al.*, 29 S.R.R. 68, 70 (ID 2000), Administratively Final January 17, 2001, citing *Old Ben Coal Co. v. Sea-Land Service, Inc.*, 21 F.M.C. 505, 512-515 (FMC 1978) (18 S.R.R. 1085, 1091-1095) and *Great White Fleet v. Southeastern Paper Products, Inc.*, 26 S.R.R. 1487, 1488-1490 (FMC 1994).

⁴ *Al Kogan d/b/a Galaway International*, *supra*, 70, and cases cited.

Settlement be kept confidential by the Commission and to dismiss this proceeding with prejudice under the terms provided in the Confidential Settlement.

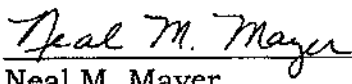
Respectfully submitted,

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Date: March 29, 2005